Actually Penn Central might have been the ultimate asset play. The company had everything: tax-loss carryforward, cash, extensive land holdings in Florida, other land elsewhere, coal in West Virginia, and air rights in Manhattan. Anybody who had anything to do with Penn Central could have figured out that this was a stock worth buying. It went up eightfold.

Right now I'm holding on to Liberty Corp., an insurance company whose TV properties are worth more than the price I paid for the stock. Once you found out that the TV properties were worth $30 a share, and you saw that the stock was selling for $30 a share, you could take out your pocket calculator and subtract $30 from $30. The result was the cost of your investment in a valuable insurance business—zero.

I wish I'd bought more shares of Telecommunications, Inc., a cable company that sold for 12 cents a share in 1977 and $31 ten years later—up 250-fold. I had a very small position in this, the largest U.S. cable company, because I didn't appreciate the value of the assets. The earnings were poor and the debts were worrisome, so on the traditional measures, cable was an unattractive business. But the assets (in the form of the cable subscribers) more than made up for these negatives. All the people with an edge in the cable business could have known it; and so could I.

Regrettably, I never took more than a piddling position in the cable industry, despite the urging of Fidelity's Morris Smith, who periodically pounded on my table to convince me to buy more. He definitely was right—for the following important reason.

Fifteen years ago, each cable subscriber was worth about $200 to the buyer of a cable franchise, then ten years ago it was $400, five years ago $1,000, and now it's as high as $2,200. People in the industry keep up with these numbers, so it's not exactly esoteric information. The millions of subscribers to Telecommunications, Inc., made it a huge asset.

I think I missed all of this because cable TV didn't arrive in my town until 1986 and in my house until 1987. So I had no firsthand appreciation of worth of the industry in general. Somebody could tell me about it, just as somebody could tell you about a blind date, but until you are personally confronted with the evidence, it has no impact.

If I'd seen how my youngest daughter, Beth, loves the Disney channel, how much Annie looks forward to watching Nickelodeon, how my oldest daughter Mary appreciates MTV, how Carolyn takes to the old Bette Davis movies and I take to CNN news and cable sports, I would have understood that cable is as much of a fixture as water or electricity—the video utility. It's impossible to say enough about the value of personal experience in analyzing companies and trends.